

individual is then able to get a tax deduction while still contributing to a noble cause.

Home loans

The principle repayment of a home loan qualifies for deduction under section 80C; the interest payable on the home loan is allowed as deduction under section 24 of the act.

The deduction in respect of the interest is available in full for properties that are treated as let-out, but in case of a property treated as self-occupied, the amount cannot exceed Rs 2.0 lacs per financial year, subject to certain conditions.

However, you cannot claim interest deduction when the flat is under construction. The interest paid during the pre-construction period can be claimed as a deduction in five equal installments starting from the financial year in which the construction is completed. Where the property is jointly owned, with the share of each owner being definite, the net taxable annual value of the property is apportioned to each of the joint owners in the ratio of their share in the property. And, as the shares are definite, each holder is eligible to claim a separate deduction in case the property is jointly owned.

Get smarter with Money Withdrawals

"I am going to withdraw ₹30,000/- from my Mutual Funds Deposits in a day or two. I need to buy the LCD TV. We have been planning it for a long time." said one of the freedom seekers.

After looking at the SIP investment break up, I said, "Of course, it is your money. But if you could wait for another 12 days, you could save ₹3,500/-. I believe, buying an LCD can definitely wait for 12 days."

"What! How?" exclaimed the seeker.

This is a typical reaction when you awaken to the reality of wealth management skills.